

dividend to shareholders. In July the company issued an \$18 special dividend, and in October gave \$12 per share to its owners. In 1993, the company returned \$50 in special dividends and raised the quarterly dividend from \$0.40 to \$0.60 per share. From July 1992 through the end of 1993, for its investment of \$72 per share, Berkshire received \$2.60 in common dividends, \$50 in special dividends, and a share price that rose to \$103. It amounted to a 116 percent return over 18 months. Not surprisingly, over this time period General Dynamics not only outperformed its peer group, but it also soundly beat the Standard & Poor's 500 index.

Wells Fargo & Company

If General Dynamics was the most confusing investment Buffett ever made, then the Wells Fargo & Company investment would certainly qualify as the most controversial. In October 1990, Buffett announced that Berkshire had purchased five million shares of Wells Fargo, investing \$289 million in the company at an average \$57.88 per share. Berkshire was now the largest shareholder of the bank, owning 10 percent of the shares outstanding.

Earlier in the year, Wells Fargo had traded as high as \$86 per share, but then investors began abandoning California banks and thrifts. They feared the recession that was gripping the West Coast would soon cause wide loan losses in the commercial and residential real estate market. Since Wells Fargo had the most commercial real estate of any California bank, investors sold their stock and short sellers added to the downside pressure. The short interest in Wells Fargo's stock jumped 77 percent in the month of October, about the same time that Buffett began purchasing shares in the company.

In the months following the announcement that Berkshire had become a major shareholder, the battle for Wells Fargo resembled a heavyweight fight. In one corner, Buffett was the bull, betting \$289 million that Wells Fargo would increase in value. In the other corner, short sellers were the bears, betting that Wells Fargo, already down 49 percent for the year, was destined to fall further. The Feshbach brothers, the nation's biggest short sellers, were betting against Buffett. "Wells Fargo is a dead duck," said Tom Barton, a Dallas money manager for the Feshbachs. "I don't think it's right to call them a bankruptcy candidate but I think it's a teenager."³² By that,